

26STCV23391 26STCV23391

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Case Number: 26STCV23391 Hearing Date: September 9, 2026 Dept: 516

Judge James I. Montgomery

Department

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Hearing

Date: September 9, 2026

Case

Name: Ronald Piller, et

al. v. IRG Master Holdings, LLC, et al.

Case

No.: 26STCV23391

Matter: Motion to Seal

Moving

Party: Plaintiff

Daniel M. Cislo, Trustee of the Cislo Family Trust

Responding Party: No opposition

Joinder filed by Plaintiffs Ronald Piller, Trustee for the
Ronald Revocable Trust, et al.

Ruling: The Motion to Seal is denied

On August 13, 2026, Plaintiff Cislo filed a motion for a court order sealing the April 20, 2026 hearing transcript attached as Exhibit 11 to their complaint pursuant to California Rules of Court, Rule 2.550 et seq. Other Plaintiffs filed a Notice of Joinder. Nothing was filed by or on behalf of Defendants.

The motion to file under seal is denied.

Legal
Standard

“A party requesting that a record be filed under seal must file a motion or an application for an order sealing the record. The motion or application must be accompanied by a memorandum and a declaration containing facts sufficient to justify the sealing.” (California Rules of Court, Rule 2.551, subd. (b)(1).)

The court must make express findings to support sealing under California Rules of Court, Rule 2.550. Specifically, California Rules of Court, Rule 2.550, subdivision (d), provides:

“The court may order that a record be filed under seal only if it expressly finds that:

- (1) There exists an overriding interest that overcomes the right of public access to the record;
- (2) The overriding interest supports sealing the record;
- (3) A substantial probability exists that the overriding interest will be prejudiced if the record is not sealed;
- (4) The proposed sealing is narrowly tailored; and
- (5) No less restrictive means exist to achieve the overriding interest.”

The party seeking to seal a document bears the burden of proof. (H.B. Fuller Co. v. Doe (2007) 151 Cal.App.4th 879, 894.) Specifically, “[a] party requesting that a record be filed under seal must file a motion or an application for an order sealing the record. The motion or application must be accompanied by a memorandum and a declaration containing facts sufficient to justify the sealing.” (CRC, Rule 2.551, subd. (b)(1).)

Analysis

Plaintiffs move for a court order sealing the April 20, 2026 hearing transcript attached as Exhibit 11 to their complaint for Injunctive Relief and the Declaration of Yegor Fursevich in Support of Plaintiffs’ Ex Parte Application for an Order to Show Cause re: Preliminary Injunction (the “April 20, 2026 Hearing Transcript”) pursuant to California Rules of Court, Rule 2.551.

By way of background, the California Supreme Court has held that there is a First Amendment right of public access to “ordinary civil trials and proceedings.” (NBC Subsidiary (KNBC-TV), Inc. v. Superior Court (1999) 20 Cal.4th 1178, 1212.) As our high court has explained, this constitutional right is a “qualified” one in the sense that the proceedings “are ‘presumptively open’ ” and in order for them to be ordered closed, the court must give advance notice of the potential closure and must conduct a hearing and must make express findings supporting the closure order and/or the sealing of court records. (Id. at p. 1217.)

Since NBC Subsidiary, California Courts of Appeal have regularly employed a constitutional analysis in resolving disputes over public access to court documents. (E.g., In re Marriage of Nicholas (2010) 186 Cal.App.4th 1566, 1575 [holding sealing orders implicate the public’s right of access under the First Amendment.]; Savaglio v. Wal-Mart Stores, Inc. (2007) 149 Cal.App.4th 588, 596 [explaining the public has a First Amendment right to access civil litigation documents filed in court and used at trial or submitted as basis for adjudication].)

Thus, under NBC Subsidiary, before the presumption of openness established by the First Amendment may be overcome, the trial court must hold a hearing and expressly find that (1) there is an

overriding interest supporting sealing of the records; (2) there is a substantial probability that the interest will be prejudiced absent sealing; (3) the sealing order is narrowly tailored to serve the overriding interest; and (4) there is no less restrictive means of meeting that interest. (NBC, *supra*, at pp. 1217–1218.) The Judicial Council codified the NBC constitutional standards in rules 2.550 and 2.551—which are also known as “the sealed records rules.” (Overstock.com, Inc. v. Goldman Sachs Group, Inc. (2014) 231 Cal.App.4th 471, 486.)

Here, moving Plaintiff specifically states he does not contend that the April 20, 2026 Hearing Transcript meets these standards. The Arbitration is not confidential, and no protective order has been entered. (Fursevich Decl. ¶ 3.) The Arbitrator designated the April 20, 2026 Hearing Transcript confidential based on Defendant IRG Master Holdings, LLC's, IRG Holdings Manager, LLC's, and Industrial Realty Group Global, LLC's (collectively, “IRG”) representation that the April 20 telephonic conference would involve discussion of a then-contemplated, but not yet publicly announced, transaction with a public company. (Id. ¶¶ 4-5.) On May 18, 2026, Defendants publicly announced the transaction discussed at the April 20 telephonic conference. (Id. ¶ 6.) Thus, Plaintiff believes the basis for confidentiality no longer applied. Plaintiff thus maintains that the April 20, 2026 Hearing Transcript does not contain any information about the transaction that has not been publicly disclosed by Defendants. (Id.) Nonetheless, Defendants maintain that the April 20, 2026 Hearing Transcript is confidential. (Id. ¶ 7.) And as a result, the Arbitrator in the underlying Arbitration directed Plaintiff to take all reasonable steps to ensure that the transcript is sealed in this action.

Plaintiffs have not demonstrated any overriding interest (e.g., trade secrets or nonpublic information) any or specific prejudice that will result from the disclosure of the Exhibit in this case. (McNair v. National Collegiate Athletic Assn., *supra*, 234 Cal.App.4th at p. 35; Huff v. Superior Court (2003) 112 Cal.App.4th 97, 106 abrogated on other grounds in Curtis v. Superior Court (2021) 62 Cal.App.5th 453, 471; Cal. Rules of Court, rule 2.550(d)(3).) That is, Plaintiffs have not shown how disclosure would harm cause specific harm to Defendants.

Moreover, Defendants seek to seal the entire 54-page exhibit, which on its face is not narrowly tailored, and neither the motion nor the evidence indicate that this is the least restrictive means

by which to protect the specific information in the exhibit.

Thus, the bare assertion that the exhibit was designated as confidential (and it appears the designation should no longer apply) is insufficient to overcome the presumption of openness to court records necessary to justify sealing.

CONCLUSION

Accordingly,
Plaintiffs' motion to seal is denied.